

Tallwood Supply Co.

Annual Report for the fiscal year ended December 31, 2025

LETTER TO SHAREHOLDERS

Dear fellow owners,

2025 was the year our operating discipline showed up in the bank account. Revenue grew 9% to \$2.31 billion, helped by the regional distribution centers we opened in Ohio and Nevada, and gross margin widened by 80 basis points as freight costs normalized.

Most importantly, day-to-day operations brought in \$412.6 million in cash during 2025, up 17% from \$351.2 million a year earlier. After \$96.3 million of capital spending, we were left with \$316.3 million of free cash flow, which funded our dividend, retired the remaining term loan, and still added to the balance sheet.

We also split our stock two-for-one in June, the first split in the company's history, to keep shares accessible to the employees who own a growing part of Tallwood through our purchase plan.

Our priorities for 2026 are unchanged: serve contractors faster than anyone in our regions, keep inventory lean, and turn earnings into cash. Thank you for your continued trust.

Maren Okafor

President and Chief Executive Officer

MANAGEMENT'S DISCUSSION AND ANALYSIS

Liquidity and capital resources

Our principal sources of liquidity are cash on hand, cash from operations, and a \$400.0 million revolving credit facility, which was undrawn at December 31, 2025. We believe these sources are sufficient to fund operations, capital projects, and shareholder returns for at least the next twelve months.

Cash flows

Net cash provided by operating activities was \$412.6 million in 2025 compared with \$351.2 million in 2024. The increase reflects higher net income and a \$25.8 million larger contribution from working capital, primarily faster collection of receivables from large contractor accounts.

Net cash used in investing activities was \$101.9 million, consisting mainly of \$96.3 million of purchases of property and equipment for the two new distribution centers and warehouse automation.

Net cash used in financing activities was \$214.7 million, including \$120.0 million to repay the term loan in full, \$61.2 million of dividends, and \$33.5 million of share repurchases.

Free cash flow (non-GAAP)

We define free cash flow as net cash provided by operating activities less purchases of property and equipment. Free cash flow was \$316.3 million in 2025 and \$262.8 million in 2024. Free cash flow is not a substitute for measures prepared under GAAP.

Inventory

Inventory turns improved to 6.1 from 5.6, as the new centers let us hold fewer weeks of supply in branch locations. We expect turns to remain near this level in 2026.

FINANCIAL STATEMENTS

Consolidated Statements of Cash Flows

(In thousands)

Year ended December 31,	2025	2024
Operating activities		
Net income	271,440	236,905
Depreciation and amortization	58,712	52,380
Stock-based compensation	18,960	16,214
Deferred income taxes	(4,122)	3,871
Changes in accounts receivable	21,305	(9,940)
Changes in inventories	(12,880)	(31,617)
Changes in accounts payable and accrued liabilities	59,203	83,391
Net cash provided by operating activities	412,618	351,204
Investing activities		
Purchases of property and equipment	(96,340)	(88,431)
Proceeds from sale of equipment	2,105	1,760
Acquisition of business, net of cash acquired	(7,650)	—
Net cash used in investing activities	(101,885)	(86,671)
Financing activities		
Repayment of term loan	(120,000)	(60,000)
Dividends paid	(61,210)	(54,880)
Repurchases of common stock	(33,512)	(41,008)
Net cash used in financing activities	(214,722)	(155,888)
Net increase in cash and cash equivalents	96,011	108,645
Cash and cash equivalents, beginning of year	492,899	384,254
Cash and cash equivalents, end of year	588,910	492,899

The accompanying notes are an integral part of these consolidated financial statements.

FINANCIAL STATEMENTS

Consolidated Statements of Operations

(In thousands, except per share data)

Year ended December 31,	2025	2024
Net sales	2,310,470	2,119,690
Cost of sales	(1,543,390)	(1,432,910)
Gross profit	767,080	686,780
Selling, general and administrative	(412,300)	(378,120)
Operating income	354,780	308,660
Net income	271,440	236,905
Diluted earnings per share	\$ 2.14	\$ 1.87
Weighted-average diluted shares outstanding	126,841	126,688

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Note 1 — Basis of presentation

The consolidated financial statements include the accounts of Tallwood Supply Co. and its wholly owned subsidiaries. Intercompany balances have been eliminated.

Unless otherwise indicated, numbers of shares are stated in thousands, and per-share amounts are stated in U.S. dollars. All share and per-share figures for every period shown have been retroactively adjusted for the two-for-one stock split effected on June 2, 2025.

Note 9 — Stockholders' equity

The company is authorized to issue 400,000 thousand shares of common stock with a par value of \$0.001. At December 31, 2025, 125,930 thousand shares were issued and outstanding. During 2025 the company repurchased 402 thousand shares at an average price of \$83.36 per share.